

ECONOMICS 201: PRINCIPLES OF MACROECONOMICS

Lecture Notes • Inflation, Central Banking & Monetary Policy

Lecture Overview

This lecture explores the mechanics of inflation (demand-pull vs cost-push), the Quantity Theory of Money, and how central banks utilize monetary policy tools (interest rates, reserve requirements, and open market operations) to stabilize prices and macroeconomic output.

Key Definitions & Core Terminology

- **Demand-Pull Inflation:** Inflation arising when aggregate demand exceeds productive capacity (too much money chasing too few goods).
- **Cost-Push Inflation:** Inflation driven by supply shocks that drastically increase production costs and shift aggregate supply leftward.
- **Open Market Operations (OMO):** The purchase and sale of government bonds by a central bank to regulate commercial bank liquidity.

Core Topics & Analytical Insights

1. Central Bank Monetary Policy Transmission

- Contractionary monetary policy involves selling bonds and raising policy interest rates to cool economic overheating.
- Expansionary monetary policy injects liquidity and lowers borrowing rates to stimulate investment and employment.
- In the long run, the Phillips Curve is vertical at the natural rate of unemployment (NAIRU).

Important Formulas & Quantitative Facts

Equation of Exchange: $M * V = P * Y$

M = Money supply, V = Velocity of money, P = Price level, Y = Real national output.